

ECON 0100 | Checkpoint C | Version 1

35 minutes. Show your calculation setups. Each skill is assessed separately. Use the graphs where requested. An arithmetic slip carried through with a correct method is not a separate conceptual error.

Name:

Student ID:

I pledge to use only permitted resources and my own work, and not communicate with others during this checkpoint. Initials:

Broomsticks | Q1: Trade (C1.1)

A small country has demand $P = 16 - \frac{Q_d}{4}$ and supply $P = 4 + \frac{Q_s}{4}$. Its no-trade equilibrium price is 10 coins. The world price is 6 coins. Assume competitive markets and no externalities.

- a) At the world price, calculate Q_d , Q_s , and trade volume. Does the country import or export?
- b) Compared with no trade, do domestic buyers gain or lose? Sellers? Does domestic total surplus rise or fall?

Q2: Tariff (C1.2)

The country imposes a tariff of 2 coins per imported broomstick. Imports continue.

- a) Calculate the domestic price, Q_d , Q_s , imports, and tariff revenue.
- b) Compared with free trade, do domestic buyers gain or lose? Sellers?
- c) On the supplied demand and supply graph, mark the free-trade and tariff prices, and shade the two DWL regions. You do not need to calculate their areas.

